HEADS DOWN TO HEADS UP

Weekly Intelligence Brief

Happenings in AI last week, and what they mean for your business.

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Brown Advisory
Independent investment management and strategic advisory firm

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ANNOUNCEMENTS	WHAT IT MEANS	WHAT IT MEANS FOR: BROWN ADVISORY
1 Global AI Stock Selloff Deepens as Markets Reprice the AI Trade *Various AI news outlets, 2026-06-08* A selloff in AI-linked stocks that began on Wall Street spread across Asia, with South Korea's Kospi triggering a circuit breaker and falling as much as 7%. The decline followed a 4.2% Nasdaq drop after a hot US jobs report raised rate-hike expectations, compounded by a Broadcom-led chip slump..	After two years of a near-vertical AI rally, the market is stress-testing how much of the AI trade was priced for perfection — a single chip revenue miss plus a rate scare was enough to erase trillions. For allocators, this resets entry points, forces a hard look at AI concentration risk in client portfolios, and changes the conversation with famil IN PLAIN TERMS *Like a packed elevator that everyone crowded onto on the way up suddenly lurching, and the crowd rediscovering all at once that the same door works in both directions.*	GLOBAL AI STOCK SELLOFF DEEPENS AS MARKETS REPRICE THE AI TRADE The selloff is an opportunity to revisit AI allocation theses with cooler heads and better prices — but only for those who have done the work on which names have real earnings power versus narrative momentum. Brown Advisory should move quickly to update AI-sector talking points for advisor and client conversations, framing the drawdown as a normali
2 OpenAI Confirms It Has Filed Confidentially for an IPO *Various AI news outlets, 2026-06-08* OpenAI confirmed it has confidentially filed a draft S-1 with the SEC, the first formal step toward a public listing. The move follows rival Anthropic, which filed roughly a week earlier, and reporting points to a potential valuation of up to roughly $1 trillion..	Two of the largest AI labs heading to public markets in the same season will set a valuation benchmark for the entire sector and pull AI into public-equity portfolios and indices. A listed OpenAI means quarterly disclosure, SEC oversight, and a market-priced, audited read on AI unit economics that has so far only been visible to private investors.. IN PLAIN TERMS *Like two rival restaurants that have only ever taken private reservations both deciding, in the same season, to open their books and sell shares to the public.*	OPENAI CONFIRMS IT HAS FILED CONFIDENTIALLY FOR AN IPO The dual Anthropic-OpenAI IPO calendar demands a pre-filing allocation framework: Will Brown Advisory participate in these offerings for client portfolios, and if so, under what sizing and governance criteria? These IPOs will be the largest tech listings in years and will immediately affect index weights, active-manager positioning, and the benchma
3 China Drafts a $295 Billion Plan for a National AI Data Center Grid on Domestic Chips *Various AI news outlets, 2026-06-09* Bloomberg reports China is preparing to spend roughly $295 billion over five years to build a nationwide network of interconnected AI data centers. The plan calls for at least 80% of the technology, including AI chips, to come from domestic suppliers such as Huawei, effectively squeezing out Nvidia and AMD..	China is treating AI compute as state-backed infrastructure at a scale rivaling its Belt and Road Initiative, while deliberately decoupling from US chip suppliers. For allocators, this sharpens the two-world thesis — a long-term Nvidia thesis must now factor in a structurally smaller China market, while a Huawei-dominated supply chain creates winne IN PLAIN TERMS *It is Beijing choosing to build its own power grid rather than keep importing generators, accepting less efficient homemade parts in exchange for not depending on a rival's plants.*	CHINA DRAFTS A $295 BILLION PLAN FOR A NATIONAL AI DATA CENTER GRID ON DOMEST... The $295B figure is big enough to reshape the global semiconductor demand picture, and Brown Advisory should assess client portfolio exposure to Nvidia and AMD with a China-revenue haircut scenario. On the opportunity side, this plan will create a wave of procurement across Chinese AI infrastructure names — some accessible through EM and Asia-Pacif
4 Bots Overtake Humans Online as Financial Services Absorbs the Heaviest Attack Load *Various AI news outlets, 2026-03-26 (recirculated June 8)* The 2026 Imperva Bad Bot Report found automated bots now make up 53% of all measured web traffic, the second straight year bots have outnumbered humans. Financial services absorbed the heaviest load, accounting for 24% of all bot attacks and 46% of account-takeover incidents..	The open internet is now majority machine, and financial services is the most-targeted sector by a wide margin. For an investment firm advising wealthy families, account-takeover defenses tuned for human-speed attacks are now facing automated adversaries that probe generational-wealth accounts at machine scale.. IN PLAIN TERMS *Like discovering that more than half the cars on the highway no longer have drivers, and a large share of them are specifically cruising your street looking for an unlocked garage.*	BOTS OVERTAKE HUMANS ONLINE AS FINANCIAL SERVICES ABSORBS THE HEAVIEST ATTACK... Cyber risk is now an investment risk, not just an operational one. Brown Advisory should ensure that its own client-portal and account-security infrastructure is benchmarked against bot-driven attack patterns, particularly around account takeover and credential stuffing — wealthy families are high-value targets. For the advisory side, consider maki
5 German Court Holds Google Directly Liable for False AI Overviews *Various AI news outlets, 2026-06-10* The Regional Court of Munich issued a preliminary injunction finding Google directly liable for false statements produced by its AI Overviews feature. The reasoned decision treats AI-generated summaries as Google's own independent statements, removing the traditional search-engine liability shield..	For the first time, a court has ruled that the entity publishing AI-generated answers owns every word and is legally responsible when they are wrong — 'the model wrote it' is no defense. For an investment advisor, this means AI-generated market commentary, portfolio summaries, or client-facing content carries direct firm liability for every factual IN PLAIN TERMS *It is the difference between a library lending you a book it*	GERMAN COURT HOLDS GOOGLE DIRECTLY LIABLE FOR FALSE AI OVERVIEWS This ruling should trigger an immediate review of any AI-generated content that touches clients — market commentary drafts, portfolio-summary narratives, RFP responses, or advisor talking points. Even if a human reviews the output before it goes out, the legal question is now whether the firm's process can demonstrate meaningful oversight rather th

THE WEEK IN ONE LINE
AI-linked stocks sold off globally as OpenAI raced Anthropic toward what could be the two largest tech IPOs in a generation, China committed $295 billion to domestic AI infrastructure, and financial services absorbed the heaviest bot-attack load of any sector — with a German court ruling that AI-generated content carries direct publisher liability.